

EDEXCEL A LEVEL BUSINESS

SPECIFICATION CHECKLIST

THEME 1 - MARKETING

1.1.1 THE MARKET

- ☐ Characteristics of mass and niche markets
- ☐ Market size and market share
- ☐ Brands
- ☐ Online retailing
- ☐ How markets change
- ☐ Innovation and market growth
- ☐ Adapting to change
- ☐ How competition affects the market
- ☐ Difference between risk and uncertainty

1.1.2 MARKET RESEARCH

- ☐ Product and market orientation
- ☐ Primary and secondary market research data
- ☐ Limitations of market research, sample size and bias
- ☐ Use of ICT to support market research
- ☐ Market segmentation

1.1.3 MARKET POSITIONING

- ☐ Market mapping
- ☐ Competitive advantage of a product or service
- ☐ Purpose of product differentiation
- ☐ Adding value to products / services

1.2.1 DEMAND

- ☐ Changes in the prices of substitutes
- ☐ Changes in consumer incomes
- ☐ Fashions, tastes and preferences
- ☐ Advertising and branding
- ☐ Demographics
- ☐ External shocks
- ☐ Seasonality

1.2.2 SUPPLY

- ☐ Changes in the cost of production
- ☐ Introduction of new technology
- ☐ Indirect taxes
- ☐ Government subsidies
- ☐ External shocks

1.2.3 MARKETS

- ☐ Interaction of supply and demand
- ☐ Supply and demand diagrams

1.2.4 PRICE ELASTICITY OF DEMAND (PED)

- ☐ Calculation of PED
- ☐ Factors influencing PED
- ☐ Interpretation of numerical values of PED
- ☐ Significance of PED to business (implications of pricing)
- ☐ Relationship between PED and total revenue

1.2.5 INCOME ELASTICITY OF DEMAND (YED)

- ☐ Calculation of YED
- ☐ Interpretation of numerical values of YED
- ☐ Factors influencing YED
- ☐ Significance of YED to businesses

1.3.1 PRODUCT / SERVICE DESIGN

- ☐ Design mix (function, aesthetics, cost)
- ☐ Resource depletion: waste minimisation, re-use & recycling
- ☐ Ethical sourcing

1.3.2 BRANDING AND PROMOTION

- ☐ Types of promotion
- ☐ Types of branding
- ☐ Benefits of strong branding
- ☐ Ways to build a brand
- ☐ Changes in branding and promotion to reflect social trends

1.3.3 PRICING STRATEGIES

- ☐ Types of pricing strategy (cost plus, price skimming, penetration, predatory, competitive, psychological)
- ☐ Factors that determine the most appropriate price strategy
- ☐ Changes in pricing to reflect social trends

1.3.4 DISTRIBUTION

- ☐ Distribution channels
- ☐ Changes in distribution to reflect social trends

1.3.5 MARKETING STRATEGY

- ☐ Product life cycle

- ☐ Boston Matrix and the product portfolio
- ☐ Marketing strategies for different types of market

- ☐ Consumer behaviour & building customer loyalty

THEME 1 – MANAGING PEOPLE

1.4.1 APPROACHES TO STAFFING

- ☐ Staff as an asset; staff as a cost
- ☐ Flexible workforce
- ☐ Distinction between dismissal and redundancy
- ☐ Employee /employer relationships

1.4.2 RECRUITMENT, SELECTION & TRAINING

- ☐ Recruitment and selection process
- ☐ Costs of recruitment, selection and training
- ☐ Types of training

1.4.3 ORGANISATIONAL DESIGN

- ☐ Structure (hierarchy, chain of command, span of control, centralised & decentralised)
- ☐ Types of structure (tall, flat, matrix)
- ☐ Impact of different organisational structures on business efficiency & motivation

1.4.4 MOTIVATION IN THEORY AND PRACTICE

- ☐ Importance of employee motivation to a business
- ☐ Motivation theories (Taylor, Mayo, Maslow, Herzberg)
- ☐ Financial incentives to improve employee performance (piecework, commission, bonus, profit share, performance-related pay)
- ☐ Non-financial techniques to improve employee performance (delegation, consultation, empowerment, team working, flexible working, job enrichment, job rotation, job enlargement)

1.4.5 LEADERSHIP

- ☐ Distinction between management and leadership
- ☐ Types of leadership style (autocratic, paternalistic, democratic, laissez-faire)

1.5.1 ROLE OF AN ENTREPRENEUR

- ☐ Creating and setting up a business
- ☐ Running and expanding / developing a business
- ☐ Innovation within a business (intrapreneurship)
- ☐ Barriers to entrepreneurship
- ☐ Anticipating risk and uncertainty in the business environment

1.5.2 ENTREPRENEURIAL MOTIVES AND CHARACTERISTICS

- ☐ Characteristics and skills required
- ☐ Reasons why people set up businesses (financial & non-financial)

1.5.3 BUSINESS OBJECTIVES

- ☐ Survival
- ☐ Profit maximisation
- ☐ Other objectives (sales maximisation, market share, cost efficiency, employee welfare, customer satisfaction, social objectives)

1.5.4 FORMS OF BUSINESS

- ☐ Sole trader, partnership and private limited company
- ☐ Franchising, social enterprise, lifestyle businesses, online businesses
- ☐ Growth to PLC and stock market flotation

1.5.5 BUSINESS CHOICES

- ☐ Opportunity cost
- ☐ Choices and potential trade-offs

1.5.6 MOVING FROM ENTREPRENEUR TO LEADER

- ☐ Difficulties in developing from an entrepreneur to a leader

THEME 2 - FINANCE

2.1.1 INTERNAL FINANCE

- ☐ Owner's capital: personal savings
- ☐ Retained profit
- ☐ Sale of assets

2.1.2 EXTERNAL FINANCE

- ☐ Sources of finance (family & friends, banks, peer-to-peer funding, business angels, crowd funding, other businesses)
- ☐ Methods of finance (loans, share capital, venture capital, overdrafts, leasing, trade credit, grants)

2.1.3 LIABILITY

- ☐ Implications of limited and unlimited liability
- ☐ Finance appropriate for limited and unlimited liability businesses

2.1.4 PLANNING

- ☐ Relevance of a business plan in obtaining finance
- ☐ Interpretation of a simple cash flow forecast & calculations based on changes in the cash-flow variables
- ☐ Use and limitations of a cash-flow forecast

2.2.1 SALES FORECASTING

- ☐ Purpose of sales forecasts
- ☐ Factors affecting sales forecasts (consumer trends, economic variables, actions of competitors)
- ☐ Difficulties of sales forecasting

2.2.2 SALES, REVENUE AND COSTS

- ☐ Calculation of sales volume and sales revenue
- ☐ Calculation of fixed and variable costs

2.2.3 BREAK-EVEN

- ☐ Contribution (selling price – variable cost per unit)
- ☐ Break-even point
- ☐ Using contribution to calculate break-even point
- ☐ Margin of safety
- ☐ Interpretation of break-even charts
- ☐ Limitations of break-even analysis

2.2.4 BUDGETS

- ☐ Purpose of budgets
- ☐ Types of budget (historical figures, zero-based)
- ☐ Variance analysis
- ☐ Difficulties of budgeting

2.3.1 PROFIT

- ☐ Calculation of profit (gross, operating, net)
- ☐ Measuring profitability (gross profit margin, operating profit margin, net profit margin)
- ☐ Ways to improve profitability
- ☐ Distinction between profit and cash

2.3.2 LIQUIDITY

- ☐ Measuring liquidity (current ratio, acid-test ratio)
- ☐ Ways to improve liquidity
- ☐ Working capital and its management (importance of cash)

2.3.3 BUSINESS FAILURE

- ☐ Internal and external causes of business failure
- ☐ Financial and non-financial factors

THEME 2 – RESOURCE MANAGEMENT

2.4.1 PRODUCTION, PRODUCTIVITY AND EFFICIENCY

- ☐ Methods of production (job, batch, flow, cell)
- ☐ Productivity: calculating output per unit of input per time period
- ☐ Factors influencing productivity
- ☐ Link between productivity and competitiveness
- ☐ Factors influencing efficiency
- ☐ Distinction between labour- and capital-intensive production

2.4.2 CAPACITY UTILISATION

- ☐ Calculation of capacity utilisation
- ☐ Implications of under- and over-utilisation of capacity
- ☐ Ways of improving capacity utilisation

2.4.3 STOCK CONTROL

- ☐ Interpretation of stock control diagram
- ☐ Buffer stocks
- ☐ Implications of poor stock control
- ☐ Just in time (JIT) management of stock

- ☐ Waste minimisation
- ☐ Competitive advantage from lean production

2.4.4 QUALITY MANAGEMENT

- ☐ Quality (control, assurance, circles, Total Quality Management)
- ☐ Continuous improvement (Kaizen)
- ☐ Competitive advantage from quality management

THEME 2 – EXTERNAL INFLUENCES

2.5.1 ECONOMIC INFLUENCES

- ☐ Inflation
- ☐ Exchange rates
- ☐ Interest rates
- ☐ Taxation and government spending
- ☐ Business cycle
- ☐ Effect of economic uncertainty on the business environment

2.5.2 LEGISLATION

- ☐ Consumer protection
- ☐ Employee protection
- ☐ Environmental protection
- ☐ Competition policy
- ☐ Health & safety

2.5.3 THE COMPETITIVE ENVIRONMENT

- ☐ Competition and market size